



FORMULAS USED IN THE ICHIMOKU CLOUD

For understanding how the Ichimoku Cloud generates trading signals, you need to know the formulas behind its components.

2

Kijun-Sen Line or the Base Line

The Kijun-Sen Line or the Base Line is the midpoint of the last 26 periods. It is calculated by adding the highest high and the lowest low points of the last 26 periods and then dividing the sum by 2.

1

Tenkan-Sen Line or the Conversion Line

The Tenkan-Sen Line or the Conversion Line is the midpoint of the last 9 periods. It is calculated by adding the highest high and the lowest low points of the last 9 periods and then dividing the sum by 2.

3

Senkou Span A Line or the Leading Span A

The Senkou Span A or the Leading Span A is the average of the addition of the Conversion Line and the Base line. It is plotted 26 periods ahead on the price chart.

